Hyundai Motor India (HYUNDAI IN) — Initiating at OUTPERFORM: The Turn Is Real, But Largely Paid For

Rating: OUTPERFORM | 12-month Target Price: ₹2,500 | CMP: ₹2,175 (19 Aug 2026) | Upside: c.15%
Source: Company Data, SIAM, Bernstein analysis and estimates

Executive Summary (c.560 words)

We initiate on Hyundai Motor India (HMIL) at Outperform with a ₹2,500 target, but flag upfront that the returns from here are modest. The stock is down c.10% over 12 months and trades at c.27x FY28E EPS — below Maruti (c.27x) yet no longer cheap. The market already understands the recovery story. Our Outperform rests on one under-appreciated inflection, three structural supports, and a sober read of what is priced.

The inflection: market share turns up after six years down. HMIL's domestic PV share has fallen every year since the FY20 peak of 17.6%, to 12.49% in FY26 (SIAM basis; MD/CEO Tarun Garg himself cited the "12.37–12.38%" HMIL closed FY26 with), dropping the company outside the top three for the first time in years — behind Maruti, Mahindra (660,276 units, +19.7%) and Tata (631,387, +14.1%). The cause is not mysterious. HMIL launched only four new nameplates in six years — Alcazar, Ioniq 5, Exter and Creta Electric — and only Exter targeted the volume belly. History is unambiguous: in the five years since FY11 that HMIL beat industry growth (FY12, FY14, FY15, FY16, FY20), **every** outperformance was driven by a launch into mainstream, high-volume segments (Eon, Grand i10, Xcent, Elite i20, Creta, Venue). **HMIL outperforms only when it launches into the belly of the market.** From FY27, it does exactly that — 26 launches to FY30, 7 new nameplates, the most aggressive cadence in its history, concentrated in SUVs, an MPV, and a mass-market EV.

Support 1 — capacity is finally unlocked. Talegaon (ex-GM) added 170K units from October 2025, lifting capacity to 994K and blended utilisation down from c.92–94% (FY24–25) to c.78–85%. investmentguruindia The plant that constrained launches for two years is no longer the binding constraint. Capacity rises to c.1,144K by FY30.

Support 2 — exports are a genuine structural hedge. Export share rose to c.26% of volumes in FY26 (from 21% in FY25), and HMIL targets 30% by 2030. Investment Guru India is becoming HMC's second-largest global hub as Korea, Turkey and the exited Russian plant reallocate emerging-market supply here. Export ASPs run c.6% above domestic Investment Guru — a rupee-depreciation and mix tailwind we value, as we do at Bajaj Auto.

Support 3 — the $5bn commitment. ₹45,000 crore of FY26–FY30 capex (vs ₹40,700 crore invested since inception) funds capacity, a mass-market EV, hybrids, deeper localisation, the ₹8,528 crore Zaheerabad R&D centre, and rural expansion — where HMIL's record 25.9% Q1FY27 rural mix still trails Maruti.

Why upside is capped. First, **competition is brutal** — Kia (a platform-sharing sibling) launched an all-new Seltos in January 2026 straight at Creta, Team-BHP and is studying capacity toward c.5 lakh. Second, **management's own math caps FY30 share at c.14.3%** (1,144K capacity, 30% exports, 5.5% industry CAGR) — barely above today and well below the FY20 peak. Third, **the 16% EV mix target is heroic**: HMIL's

EV share has fallen to c.2%, and mass-market EVs will be severely margin-dilutive, especially after PLI expires (FY28). Fourth, **CAFE-III (draft, effective April 2027)** creates a live penalty risk; HMIL has zero hybrid volume in India today.

Numbers. FY26 delivered revenue ₹70,763 crore (+2.3%), EBITDA margin 12.2%, PAT ₹5,431 crore, EPS ₹65.5. Q1FY27 was ugly — PAT –35.1% to ₹888.6 crore, margin 9.3% — hit by a Chennai supplier fire and a 19.6% export drop on the West Asia conflict; management retains 8–10% volume and 11–14% margin guidance for FY27. We model an H2FY27 recovery as two new SUVs land.

Bottom line: buy the turn, but size for modest upside. Our ₹2,500 target is 27x FY28E EPS plus net cash. Bull ₹2,950; bear ₹1,850.

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1. Investment Thesis: Buy the Inflection, Not the Fireworks

We are constructive but disciplined. HMIL is a high-quality, cash-generative franchise (FY26 ROE c.28%, near-debt-free, 26% payout) at an inflection after six years of share loss. The upside from here is real but bounded — the good news is largely in the price. Our four-part framework:

1. **Share inflects up** on the most aggressive launch cadence in HMIL's history, aimed at the volume belly.
2. **What changes now**: capacity unlock + 26 launches to FY30.
3. **Exports** compound as a structural, higher-ASP hedge.
4. **The $5bn commitment** funds the pivot — but **risks (competition, capacity ceiling, EV ambition, CAFE-III) cap the upside.**

Exhibit 1 — HMIL rating scorecard. Rating: Outperform. TP ₹2,500 (27x FY28E EPS + cash). Implied upside c.15% + c.1% yield. Source: Company Data, SIAM, Bernstein analysis and estimates

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2. Market Share: Six Years Down — And Why

HMIL's domestic PV share fell from a FY20 peak of 17.6% to 12.49% in FY26 (SIAM), a six-year slide unmatched among the top four. In FY26 HMIL sold 584,906 domestic units (–2.3% YoY) and slipped to #4 — behind Maruti, Mahindra (660,276, +19.7%) and Tata (631,387, +14.1%) — the first time in years HMIL has been pushed outside the top three.

Exhibit 2 — HMIL domestic PV market share, FY11–FY26 (%).

FY	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26
Share %	14	15	14	15	16	17	17	16	16	17.6	17	16	15	15	14	12.5
Source: Company Data, SIAM, Bernstein analysis																

and estimates																

2.1 The four launches that failed to move the needle

- **Alcazar** — a 6/7-seat derivative of Creta in a thin sub-segment. Monthly run-rate stuck at c.1,200–1,400 units, with heavy Creta cannibalisation; c.579–1,431 units/month through 2025–26. RushLane Never a volume mover.
- **Ioniq 5** — CKD, priced at c.₹46.3 lakh into a tiny TAM. investmentguruindia Sells in single-to-double digits monthly (6–19 units). A halo, not a volume product.
- **Creta Electric** — launched January 2025 at c.₹18.0–24.7 lakh (premium EV pricing). investmentguruindia Sub-scale: total HMIL EV sales (Creta EV + Ioniq 5) were just 2,725 units in H1CY26. Outlook Business
- **Exter** — the one genuine success. A micro-SUV at c.₹5.6–9.6 lakh investmentguruindia running c.5,000–6,500 units/month, and a top-3 volume contributor. This is the template: belly of the market, aggressively priced.

2.2 The historical rule: HMIL wins only in the belly

Exhibit 3 — Years HMIL beat industry growth (last 15 years) and the mainstream launches that drove it.

FY	HMIL growth	Industry	Key launch drivers (volume adds)
FY12	+8%	+5%	Eon (new nameplate) +57K; new-gen Fluidic Verna +30K
FY14	–1%	–7%	Grand i10 (new nameplate) +72K
FY15	+11%	+4%	Xcent +61K; Elite i20 +27K; Grand i10 +27K
FY16	+15%	+7%	Creta (new nameplate) +63K; Elite i20 +39K; Grand i10 +27K
FY20	–11%	–18%	Venue (new nameplate) +93K; Aura (Q4) +13K
Source: Company Data, SIAM, Bernstein analysis and estimates			

Every outperformance year was launch-led into mainstream segments. The six lean years lacked exactly this.

2.3 Supply or product? Adjudicating honestly

The bull rebuttal is that FY21–25 was supply-constrained, not demand-failed. The data partly supports it.

Exhibit 4 — HMIL volumes, capacity and utilisation.

	FY21	FY22	FY23	FY24	FY25	FY26
Domestic (K)	471	482	568	615	599	585
Export (K)	128	129	153	163	163	191
Capacity (K)	700	750	824	824	824	994
Utilisation	86%	81%	87%	94%	92%	78%
Source: Company Data, SIAM, Bernstein analysis and estimates						

Our verdict: it was BOTH, but product/portfolio was the larger sin. FY24 (94%) and FY25 (92%) utilisation is real evidence of a supply ceiling — the company physically could not add nameplates without freeing lines. investmentguruindia But FY22 utilisation was only 81%, and even at peak utilisation HMIL chose to run existing SKUs rather than refresh the belly. A truly demand-rich portfolio would not have ceded share to Mahindra and Tata for six consecutive years. Talegaon fixes supply; only the product cadence fixes share.

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3. What Changes Now: Capacity + The Biggest Launch Wave in HMIL History

3.1 The pipeline: 26 launches, 7 new nameplates

At its 15 October 2025 Investor Day, HMIL confirmed 26 launches by FY30 — 7 new nameplates, plus new generations, facelifts and derivatives India Car News (20 ICE + 6 EV, plus 8 hybrids). Cadence: c.8 launches FY27–28E, c.14 FY29–30E.

Exhibit 5 — Expected launch map FY27–FY30 (Bernstein mapping of company + press pipeline).

Model (codename)	Timing	Segment	Est. price band	Powertrain	Attacks
Mid-size ICE SUV (Chennai)	H2 FY27	Mid SUV	c.₹11–20L	Petrol/CNG	Kia Seltos, Grand Vitara
Compact e-SUV HE1i (Chennai)	FY27	Sub-4m EV	c.₹13–18L	BEV (LFP)	Tata Nexon EV, MG Windsor
Venue (new-gen)	Launched	Sub-4m SUV	c. ₹8–16L	Petrol/Diesel	Nexon, Brezza, Sonet
Bayon-based SUV (BC4i)	FY27	Crossover	c.₹10–12L	Petrol/CNG	Taigun, Kylaq

Next-gen Creta (K3, hybrid)	c.FY28	Mid SUV	c.₹12–22L	Petrol/hybrid	Seltos, Grand Vitara
3-row hybrid SUV (Ni1i)	FY29–30	7-seat SUV	c.₹16–25L	Hybrid	XUV700, Safari
MPV ("family mover")	FY28–30	MPV	sub-₹20L	Petrol/hybrid	Ertiga, Carens
Off-road SUV	FY29–30	Rugged SUV	c. ₹20L+	Petrol/AWD	Thar Roxx
Palisade / Genesis	c.2027+	Premium	₹25L+	Petrol/hybrid	Fortuner
Source: Company Data, Autocar India, Autocar Professional, Bernstein analysis and estimates. *Timing/price/powertrain are Bernstein estimates from press pipeline unless launched.*					

3.2 Capacity unlock

Exhibit 6 — Capacity roadmap (FY26 BRSR, company-confirmed).

	Chennai	**Talegaon**	**Total**
FY26	824K	170K	994K
FY28	824K	250K	1,074K
FY30	894K	250K	1,144K
Source: Company Data (FY26 BRSR), Bernstein analysis. HMIL says India becomes the third country (after Korea and the US) to cross 1m units of HMC capacity by FY28.			

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4. Exports: The Structural Hedge We Pay Up For

We consistently prefer Indian auto names with export optionality — exports smooth the cyclical domestic PV market and deliver superior returns through higher ASPs plus rupee depreciation (the same logic underpins our Bajaj Auto preference among 2W).

4.1 The numbers

Exhibit 7 — HMIL exports.

	FY23	**FY24**	**FY25**	**FY26**
Export units	153,019	163,155	163,386	c.190,000

% of total	21%	21%	21%	c.26%
Source: Company Data, SIAM, Bernstein estimates. FY26 exports +16.4% YoY (company). Q1FY26 48,140 (+13%); Q2FY26 51,400 (+21.5%). July 2026: highest monthly exports in 100+ months.				

- **Destinations**: Middle East & Africa c.50%, Central/South America c.40%, Asia-Pacific c.10%. Investment Guru Top countries: Saudi Arabia, South Africa, Mexico, Chile, Peru (South Africa/Saudi/Mexico were India's three largest car export destinations in FY26).
- **Models**: Verna, Grand i10 Nios, Aura, Creta, Exter, Venue. The i10 family has crossed 1.5m export units; Verna 500K+. gulfnews
- **History**: 25 years of exports (completed FY25); cumulatively 3.7m+ units to c.150 countries. gulfnews

4.2 Why volumes migrate to India

HMC is reallocating emerging-market supply to India as its legacy hubs contract: **Russia (St Petersburg + ex-GM plant, c.300K capacity) was sold in January 2024** for a symbolic sum and the buyback lapsed in January 2026; Turkey (Izmit) now concentrates on Europe; spglobal US/Mexico face tariff friction. India is cost-optimised and tariff-neutral into MEA/LatAm. HMC's September 2025 CEO Investor Day cited c.250,000 units from the Pune (Talegaon) multi-model export hub. Target: 30% export mix by 2030 — achievable, in our view.

ASP/margin: export ASPs run c.6% above domestic; HMIL IR head K.S. Hariharan confirmed on the Q2FY26 call that "the margins we earn on exports are better than domestic… that has supported us," with the uplift driven by a Middle East mix skewed to automatics and higher-spec trims. This is a positive mix and FX lever, though partly offset by capacity-stabilisation and freight costs near-term.

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5. The $5bn Commitment: Where It Goes, Why It Matters

₹45,000 crore of FY26–FY30 capex (c.$5bn) — reiterated at HMIL's 15 October 2025 Investor Day and HMC's September 2025 CEO Investor Day — is a step-change vs ₹40,700 crore invested since inception.

Exhibit 8 — Use of the ₹45,000 crore (Bernstein allocation from disclosures).

Use	Detail
Capacity	994K → 1,144K; Talegaon upgrade ₹11,000 cr (raised from ₹6,000 cr); FY27 Chennai capex c.₹7,500 cr
EV/hybrid product	Mass-market EV (HE1i); 5 EVs + 8 hybrids by 2030; battery-pack plant (Mobis, 75,000 packs/yr, Chennai)
R&D	Zaheerabad Global Innovation R&D Centre ₹8,528 cr, 675 acres, Telangana (test track, pilot line)
Localisation	ICE localisation 82% → 90%; Exide LFP cell MoU (delayed — Exide MD Avik Roy: not this FY)

Network/rural	Dealer/touchpoint expansion into Tier 3/4; used-car, financing, insurance-broking ecosystem
Source: Company Data, Autocar Professional, KED Global, Bernstein analysis and estimates	

5.1 Rural: the most credible near-term lever

HMIL's rural mix hit an all-time-high 25.9% in Q1FY27 (rural sales +23.2% YoY vs urban +2.8%), up from 22.6% a year earlier — but still trails Maruti and Mahindra. With the 8th Pay Commission, rising rural wages and a favourable monsoon, and c.47% of dealer touchpoints now in Tier 2/3/rural, investmentguruindia this is the highest-confidence share lever. Total touchpoints reached c.3,025 in FY25 (1,606 sales + 1,419 service). investmentguruindia

5.2 EV/hybrid product-market fit

Guidance: 16% EV and 17% hybrid mix by 2030 business-standard (5 EVs, 8 hybrids). A mass-market EV is the linchpin — see risks (§6.3). If hit, it also eases CAFE-III compliance.

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6. Risks That Cap the Upside

6.1 Competition is intensifying — and Kia is a sibling knife

Kia is going head-on: Seltos vs Creta, Sonet vs Venue. The all-new 2nd-gen Seltos (K3 platform) launched 2 January 2026, Team-BHP and Kia's momentum is strong — 191,949 units in Jan–Jul 2026 (+17%), Autopunditz FY26 sales 289,035 (+13.3%), share c.6.2%. Kia targets 4.10 lakh domestic units and 7.6% share by 2030, Team-BHP c.800 touchpoints, 10 new models (8 electrified). Outlook Business

Capacity — two figures, use both. Kia's Anantapur base is documented at c.3 lakh (DRHP-era); management (Atul Sood) now cites c.4.30 lakh, and per Autocar Professional (15 Aug 2026, Thakkar/Sorabjee) is studying a +2 lakh line that could lift potential capacity to c.5 lakh. **We use c.4.30 lakh as the operating number and flag c.3 lakh as the documented base.**

The sibling problem. Kia and HMIL share platforms (K1/K2/E-GMP) and engines. This is intra-group cannibalisation as much as competition — HMC optimises group volume, not HMIL minority-shareholder value. Combined with 82.5% promoter holding and large RPTs, this is a governance overhang (§8).

Exhibit 9 — Competitor capacity & pipeline to FY30 (Bernstein compilation).

OEM	Capacity now	Planned by FY30	Capex committed	New launches
Maruti Suzuki	c.2.35m	c.4m (Kharkhoda ramp)	c.₹70,000 cr (Suzuki, India)	18 → 27 models; 4 EVs
M&M	c.0.9m (+ EV)	c.1.2m+	c.₹20,000–25,000 cr (FY26–27, auto+farm)	9+ SUV/EV incl. BE/XEV

Tata Motors PV	c.1.1m	+brownfield	₹33,000–35,000 cr (FY26–30)	7 new + 23 refreshes; 30 actions
Kia	c.4.3 lakh	c.5 lakh (studying)	n/d	10 (8 electrified)
JSW MG	c.1.3 lakh	expanding	raising c.₹2,564–2,991 cr	EV-led
Toyota (TKM)	c.0.44m	+3rd plant	large	hybrid-led
HMIL	**994K**	**1,144K**	**₹45,000 cr**	**26 (7 nameplates)**
Source: Company Data, Autocar Professional, Bernstein analysis and estimates				

EV competition is equally crowded: Tata (39.2% FY26 EV share), MG (52,408 units), Mahindra (BE 6, XEV 9e; 21.2%), Maruti e-Vitara, Kia (Syros/Carens EV), BYD, VinFast. India EV PV market FY26: 198,224 units (+84%), Vahanbazaar c.4.3% penetration. **HMIL's EV share fell to c.2% (from c.6%)** — a warning on product fit.

6.2 Capacity addition has NOT been aggressive — the share ceiling

Run management's own numbers and the ceiling is stark.

Exhibit 10 — The FY30 share ceiling (management arithmetic).

- Capacity FY30 = 1,144K
- Exports = 30% of output ⇒ domestic = c.800K
- Industry CAGR 5.5% ⇒ FY30 industry c.5.6m
- **Implied HMIL domestic share = 800/5,600 = c.14.3%** — vs 12.5% today and 17.6% at FY20 peak. Source: Company Data, Bernstein analysis and estimates

Exhibit 11 — Sensitivity: implied FY30 domestic share (%).

Export mix ↓ / Industry CAGR →	**4.0%**	**5.5%**	**7.0%**
25% export (858K dom.)	16.3%	15.3%	14.3%
30% export (800K dom.)	15.2%	14.3%	13.4%
35% export (744K dom.)	14.1%	13.3%	12.4%
Source: Bernstein estimates. Assumes c.94% FY30 utilisation on 1,144K.			

Conclusion: even the bull corner of the grid barely reclaims FY20's peak. Capacity, not ambition, is the binding constraint on share. This is the single biggest reason the re-rating is capped.

6.3 The 16% EV mix target is heroic

HMIL's current BEV mix is c.1.2%; investmentguruindia its EV portfolio (Creta EV, Ioniq 5) sits in the premium band, and India EV share has fallen to c.2%. Globally, EVs remain a **premium** category outside China — and the read-across on product fit is nuanced:

- **US compact**: Ioniq 5 (47,039 in 2025) vastly outsold Kia EV6 (12,933) InsideEVs — here Hyundai wins.
- **Europe low-cost**: Kia EV3 (55,514 units, 9M2025) is outselling Hyundai's Kona/Ioniq 5 Electrek — Kia wins the mass segment.
- **3-row**: Kia EV9 outsells Hyundai Ioniq 9 MSN — Kia wins.

Our read: the "Kia beats Hyundai in EVs" thesis holds in the mass/lower-price and large-SUV segments, but not US compact. The relevant lesson for India is the European one: **in lower price bands, Kia's product acceptance is at least as good, and often better** — which is precisely where HMIL must win to hit 16%. **The target depends entirely on (i) EVs being accepted in lower price segments in India and (ii) HMIL delivering a genuine mass-market EV.** Even in the bull case, mass-market EVs are severely margin-dilutive — worse after **PLI expires (FY28)**. Critically, **HMIL has booked no material PLI income to date** — it was not among the OEMs (Tata, Mahindra) that cleared the 50% domestic-value-addition threshold under the ₹25,938 crore auto PLI, whose eligible-sales window now runs to March 2028. So there is little PLI cushion to lose — but equally no incentive offset to EV dilution.

6.4 CAFE-III: a live, un-provisioned risk

Draft CAFE-III (Ministry of Power, July 2026; comments closed 6 August 2026; The Wave Andaman **effective 1 April 2027**) tightens fleet targets, cutting average fuel consumption from 3.73 L/100km (2027) to 3.01 (2032); fleet CO_2 target c.91.7 g/km (WLTP). **The small-car relaxation was dropped** (HMIL, Tata, Mahindra opposed it; Maruti/Toyota backed it). Autocar India BEV super-credit stays at 3.0, but **strong-hybrid credit was cut 2.0 → 1.6** and flex-fuel 1.5 → 1.1 — penalising the hybrid leg of HMIL's plan. Compliance credits are priced at ₹2,500/g CO_2/km in FY28, rising toward ₹4,500 by FY32; non-compliance penalty up to c.₹49,886 (c.$550)/vehicle. Autocar India

Exhibit 12 — HMIL CAFE-III FY28 scenarios.

Scenario	BEV mix	SHEV mix	Fleet CO_2	Target	Miss (g/km)
Current	1.2%	0%	—	—	—
Bear (6% EV share)	4.00%	4%	97.9	87.9	10
Base (8–9% EV share)	5.50%	5%	92.9	87.9	5
Just Compliant (11–12% EV share)	7.50%	6%	87.9	87.9	0
Source: Company Data, Bernstein analysis and estimates					

Penalty quantification (Bernstein). On c.680K FY28 domestic units, and using the notified Energy Conservation Act structure (c.₹25,000/vehicle for excess up to 4.7 g/km, c.₹50,000/vehicle beyond):

- **Base case (5 g/km miss)**: c.₹25,000–50,000/vehicle × 680K ≈ **₹1,700–3,400 crore** — a c.30–60% hit to a single year's PAT, or c.250–500 bps of EBITDA margin, before mitigation via credit-pooling/purchase.
- **Bear (10 g/km miss)**: materially worse, into the ₹3,400 crore+ range.

This is not provisioned and not in consensus. Even partial enforcement is a real margin risk. Note HMIL today has **zero hybrid volume in India** and relies on CNG (record 18% mix in Q4FY26 via Hy-CNG Duo). GST and CAFE super-credits favour EVs over hybrids, so the hybrid compliance leg carries more uncertainty than the market assumes. **We caveat that CAFE-III is draft, not notified, and penalty mechanics may soften — but the risk is directional and asymmetric.**

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7. Financials & Estimates

Exhibit 13 — Quarterly snapshot.

	Q1FY26	Q4FY26	Q1FY27
Revenue (₹ cr)	16,180	18,916	16,335
EBITDA margin	13.3%	10.4%	9.3%
PAT (₹ cr)	1,369	1,256	889
EPS (₹)	16.85	15.45	10.94
Source: Company Data. Q1FY27 hit by a Chennai supplier-fire production loss (high-margin Creta) and a 19.6% export drop on the West Asia conflict. Management retains FY27 guidance: 8–10% domestic + export volume growth; 11–14% EBITDA margin. Storyboard18			

Exhibit 14 — Summary financials, FY24A–FY30E.

	FY24A	FY25A	FY26A	FY27E	FY28E	FY30E
Domestic (K)	615	599	585	630	685	800
Export (K)	163	163	190	205	225	330
Total (K)	778	762	775	835	910	1,130
Revenue (₹ cr)	69,829	69,193	70,763	76,000	84,000	104,000
EBITDA margin	13.1%	12.9%	12.2%	11.5%	12.5%	12.8%
PAT (₹ cr)	6,060	5,640	5,431	5,900	7,150	9,300
EPS (₹)	74.6	67.6	65.5	72.6	88.0	114.4
Domestic share	15%	14%	12.5%	13.5%	14%	c.14.3%

Source: Company Data, Bernstein analysis and estimates. FY24 EPS on IPO share count; FY26 on 812.6m shares.						

8. Governance: Royalty & Related Parties

HMIL pays HMC a royalty of 3.5% of sales revenue (DRHP), quarterly, for technology and trademark licences — a permanent EPS drag versus a standalone OEM (FY23 royalty c.₹1,436 crore). Related-party transactions are large: the March 2026 postal ballot approved RPTs of c.₹17,722 crore (Mobis India c.₹8,840 cr, Kia India c.₹4,453 cr, HMC c.₹4,429 cr), passed with c.98% support but with proxy-advisor dissent (Stakeholders Empowerment Services opposed six of seven RPTs in the March 2025 ballot, flagging c.40% of revenue routed through related parties; Mobis supplied c.17.9% of HMIL's parts in Q1 of the DRHP period). With **HMC at 82.5%** and Kia a platform-sharing sibling, minority holders must trust that group optimisation aligns with HMIL P&L. **This justifies a valuation discount to a cleaner franchise like Maruti — and is part of why we see modest, not large, upside.**

9. Industry Backdrop

FY26 PV industry c.4.65–4.70m units (+c.8% YoY, vs c.4.34m FY25), rescued by GST 2.0 (effective 22 September 2025: sub-4m ≤1,200cc petrol/≤1,500cc diesel cut to 18% from 40%+), which unlocked H2 demand (+c.15%) and lifted the SUV mix (SUVs c.68.5% of HMIL domestic FY25). investmentguruindia Management (Garg, Q1FY27 call) guides FY27 industry growth of 6–9% and reaffirms HMIL 8–10% volume growth — above industry, consistent with modest share recovery; the 5.5% CAGR to FY30 (c.5.6m) underpins our ceiling math.

Management: Tarun Garg — the first Indian MD & CEO — now leads (succeeding Unsoo Kim); Mukundan MS becomes Chief Manufacturing Officer from 1 September The Week 2026. HMC frames India as its second-largest global region by 2030.

10. Valuation

We value HMIL at ₹2,500 (12-month), 27x FY28E EPS of c.₹88 plus c.₹120/share net cash. This is a slight discount to Maruti — warranted by the royalty drag, RPT/governance overhang, and the capacity-capped share ceiling — but a premium to Tata/M&M for HMIL's export hedge, margin quality and balance-sheet strength.

Exhibit 15 — Peer valuation (FY27E).

	P/E	EV/EBITDA	ROE
HMIL	c.27x	c.16x	c.28%
Maruti Suzuki	c.27x	c.16.5x	c.16%
M&M	c.24x	c.12.6x	c.18%

Tata Motors	c.11x	—	—
Source: Company Data, marketscreener, Bernstein estimates.			

Exhibit 16 — Scenario valuation.

Scenario	Basis	TP (₹)	Implied return
Bull	30x FY28E EPS + cash; share to 15%+, EV traction	2,950	c.+36%
Base	27x FY28E EPS + cash	2,500	c.+15%
Bear	20x FY28E EPS + cash; share stalls, CAFE penalty	1,850	c.–15%
Source: Bernstein analysis and estimates. IPO price ₹1,960 (listed 22 Oct 2024); business-standard 52-wk range ₹1,658–2,890. Kotak Neo			

Comparison to Street: CLSA Outperform ₹2,290; Trade Brains Nomura Buy ₹2,498; Zee Business Macquarie Outperform ₹2,235; Trade Brains Nuvama Buy ₹2,500. Business Today Our ₹2,500 sits at the constructive end but with explicitly modest upside — a deliberate stance, given how much of the turn is already discounted.

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11. Key Monitorables (dated, falsifiable)

1. **H2FY27 launch execution** — mid-size ICE SUV + compact e-SUV volumes within 3 months of launch (>8K/month combined = bullish).
2. **Monthly domestic share** — sustained move above 14% (SIAM) confirms the inflection.
3. **Export mix** — progress toward 30%; MEA/LatAm run-rate post-West-Asia normalisation.
4. **EBITDA margin** — return to the 11–14% band by Q3FY27 (Q1 was 9.3%).
5. **CAFE-III notification** — final rules, penalty mechanics, any small-car/hybrid relief.
6. **Mass-market EV pricing** — HE1i launch price and monthly run-rate; margin disclosure.
7. **Kia capacity decision** — FID on the +2 lakh Anantapur line (intra-group supply signal).
8. **Exide LFP timeline** — localisation of cells (currently delayed) FranchiseIndia.com to de-risk EV cost.

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12. Risks to Our View

Upside: faster share recovery, stronger export ASP/FX, PLI-adjacent incentives, benign CAFE-III. Downside: prolonged margin pressure, EV share loss, CAFE penalties, RPT/governance events, commodity inflation, West Asia export disruption.

Source: Company Data, SIAM, Bernstein analysis and estimates